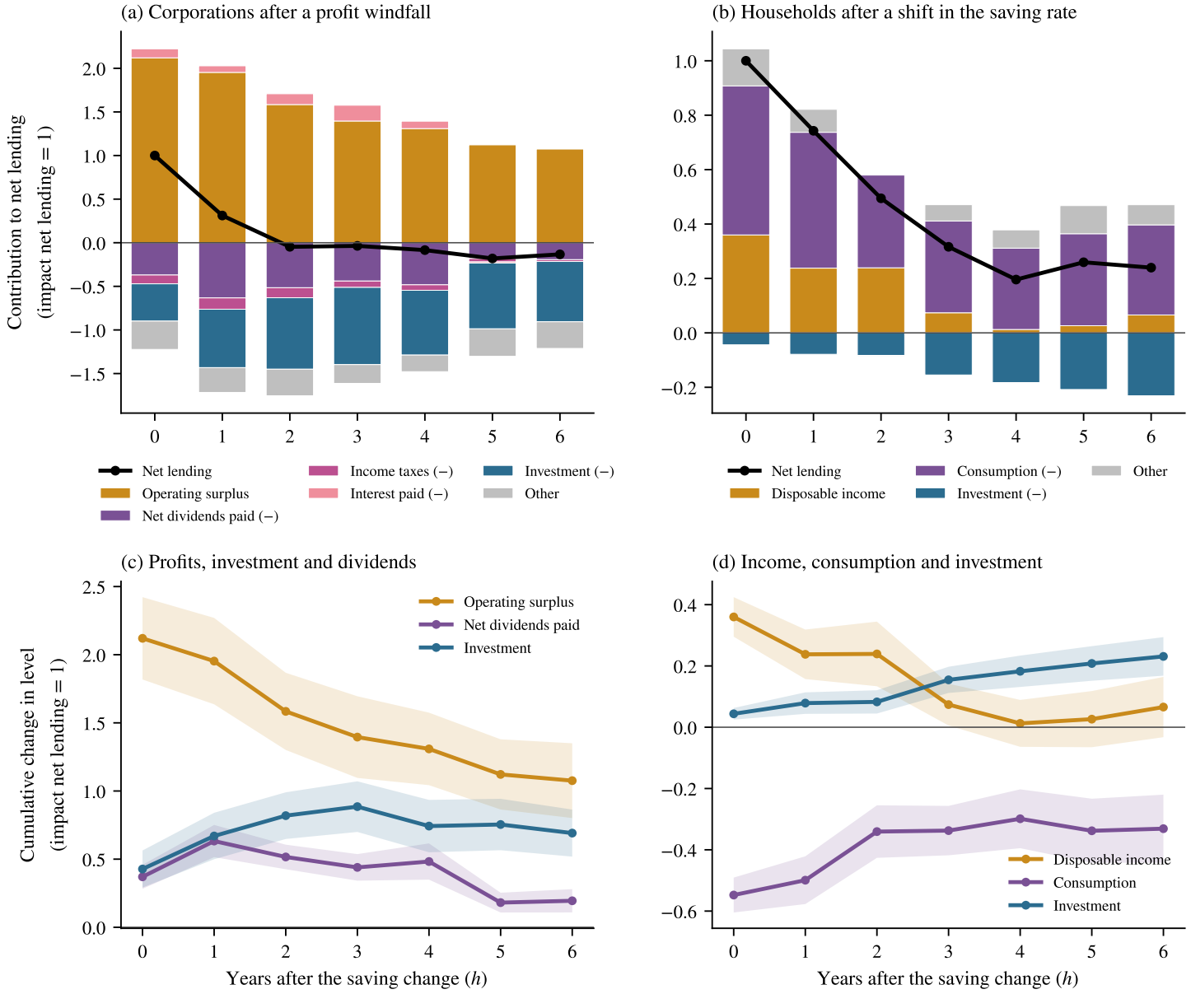
Where the extra saving goes



Notes: 38 economies, start years 1973–2025; 1087 country-years at h = 0 and 865 at h = 6 (every horizon uses all start years with the outcome observed). Local projections of each sector's net lending on the profit-windfall (corporations) or saving-rate (households) component and the remaining component, with two lags of the sector's net lending (levels), both components, GDP growth and government net lending, and country and year fixed effects; two-step weighted least squares. Each item of the sector account is the outcome (cumulative change from year −1, percent of GNI), scaled by the impact response of the sector's net lending, on country-years with all items observed. (a)–(b): outlays enter with a negative sign; 'Other' is the remainder. (c)–(d): levels with 68 percent bands (country-cluster delta method).